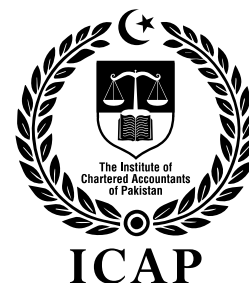


Certificate in Accounting and Finance Stage Examination

Corporate Reporting

Model paper

100 marks



Instructions to examinees:

- (i) Answer all **NINE** questions.
- (ii) The overall duration of the exam is 3 hours & 15 minutes, which includes the 15-minute reading time.
- (iii) Answer in **black** pen only.
- (iv) Answer Multiple-Choice Questions in the answer script only.

SECTION A (Ranging from 45 to 55 marks)

QUESTION 1

Select the most appropriate answer from the options provided for each of the following Multiple-Choice Questions (MCQs).

- (i) The interest coverage ratio has decreased from 6 times to 3.5 times. What could explain this drop?
 - (a) The company has repaid some of its outstanding loans
 - (b) The company's operating profit has decreased
 - (c) The company has reduced its interest expense through refinancing
 - (d) The company has significantly increased its sales revenue

(01 mark)
- (ii) A Pakistan-based company placed an order for an inventory item on 1 February 2025 to its USA supplier. The inventory was received on 31 March 2025. The company made the following payments to the supplier:

Date	USD in million	Rs. in million
1 February 2025	0.4	96
31 March 2025	0.5	125
15 July 2025	0.5	132

The company's financial year ends on 30 June. The exchange rate on 30 June 2025 was Rs. 258/USD. What is the cost of inventory to be recognized?

- (a) Rs. 346 million
 - (b) Rs. 353 million
 - (c) Rs. 350 million
 - (d) Rs. 357 million

(02 marks)
- (iii) Which of the following should be the first safeguard to address the threat when an accountant in business is pressured to manipulate financial results?
 - (a) Resign from the job immediately
 - (b) Delegate or transfer the responsibility to sub-ordinate
 - (c) Discuss the issue with higher levels of management
 - (d) Ignore the pressure and do not make any changes

(01 mark)
- (iv) Under ICAP's Code of Ethics for Chartered Accountants, which of the following refers to professional competence and due care?
 - (a) Carry out the assignment by acting diligently, carefully and on a timely basis
 - (b) Act honestly in carrying out the assignment
 - (c) Take reasonable steps to ensure that the assistance and advice sought on any matter pertaining to client is not disclosed
 - (d) Carry out the assignment without bias

(01 mark)

- (v) A company's management wants to aggregate two operating segments into one for reporting. Both produce similar goods, have similar processes and serve similar customer types. However, one segment operates in a higher risk political environment with significantly higher volatility in cash flows. Under IFRS 8 'Operating Segments', can these be aggregated?
- (a) Yes, all qualitative similarities allow aggregation
 - (b) Yes, but only if revenue correlation is proven statistically
 - (c) No, due to significant difference in risk and economic environment
 - (d) Yes, but only if both are profitable in the current year
- (01 mark)**
- (vi) As per IFRIC 1 'Changes in Existing Decommissioning, Restoration and Similar Liabilities', which of the following statements is/are correct?
- (I) Once the related asset has reached the end of its useful life, all subsequent changes in the liability shall be recognized in profit or loss as they occur.
 - (II) The periodic unwinding of the discount can be capitalized in the cost of the related asset if it is under construction.
- (a) Only (I) is correct
 - (b) Only (II) is correct
 - (c) Both are correct
 - (d) None is correct
- (01 mark)**
- (vii) Under IFRS 8 'Operating Segments', which of the following criteria is **NOT** relevant for identifying an operating segment?
- (a) The segment engages in business activities from which it may earn revenues and incur expenses
 - (b) The segment has discrete financial information available
 - (c) The operating results are reviewed regularly by the entity's chief operating decision maker
 - (d) The segment's assets must be physically located in a separate geographical area
- (01 mark)**
- (viii) Which of the following best describes the key difference between functional currency and presentation currency?
- (a) Functional currency is chosen by management, whereas presentation currency is determined by IFRS
 - (b) Functional currency is based on the economic environment, while presentation currency is used for financial reporting
 - (c) The currency of consolidated financial statements is called functional currency, while the currency of separate financial statements is called presentation currency
 - (d) Functional currency is used for publishing financial statements, whereas presentation currency is used for recording day-to-day transactions
- (01 mark)**
- (ix) Which of the following is **NOT** required to be disclosed as a separate line item on the face of the financial statements as per the Fourth Schedule of the Companies Act, 2017?
- (a) Revaluation surplus on property, plant and equipment
 - (b) Capital work in progress
 - (c) Long term deposits and prepayments
 - (d) Unclaimed dividend
- (01 mark)**

QUESTION 2

On 1 March 2024, Qalakand Limited (QL) acquired 6 million ordinary shares of Falooda Limited (FL), representing 15% of FL's issued share capital, at the prevailing fair value of Rs. 20 per share. In August 2024, FL declared and paid an interim cash dividend of Re. 1 per share. FL reported a net profit of Rs. 160 million for the financial year ended 31 December 2024. The fair value of each FL share as at 31 December 2024 was Rs. 25.

QL **does not have** significant influence over FL.

Required:

Discuss the possible classification option(s) available to QL for accounting for its investment in FL's shares in the financial statements for the year ended 31 December 2024. *(Show all relevant amounts.)* **(07 marks)**

QUESTION 3

Using the same data as given in **Question 2**, assume that QL **does have** significant influence over FL. Additionally, after the acquisition, QL sold goods to FL amounting to Rs. 100 million at a markup of 20% above cost. As at 31 December 2024, 60% of these goods remained unsold by FL, and Rs. 15 million was still outstanding.

Required:

In respect of **QL's separate financial statements** for the year ended 31 December 2024, discuss the alternatives available to QL for accounting for its investment in FL's shares. (*Show all relevant amounts.*)
(08 marks)

QUESTION 4

The following information related to Windsor Limited (WL) has been gathered for the calculation of basic earnings per share (EPS):

- (i) Profit after tax for the year ended 31 December 2024 amounted to Rs. 190 million.
- (ii) Outstanding ordinary and preference shares as at 1 January 2024:
 - 12 million ordinary shares with a par value of Rs. 10 each.
 - 1 million preference shares having par value of Rs. 100 each. These shares are irredeemable and carry a cumulative dividend of 20%.
 - 1.4 million preference shares with a par value of Rs. 100 each. These shares are irredeemable and carry a non-cumulative dividend of 25%.
- (iii) On 1 April 2024, WL made a 2 for 1 share split for ordinary shares. The market value of each share of WL at that date was Rs. 60.
- (iv) On 1 August 2024, WL announced a right issue to its ordinary shareholders in proportion of 1 right share for every 3 ordinary shares at Rs. 65 per share. The entitlement date for the rights issue was 1 September 2024. The market price per share immediately before the announcement and entitlement dates was Rs. 80 and Rs. 90 respectively.
- (v) For 2024, WL declared and paid 25% dividend to non-cumulative irredeemable preference shareholders.
- (vi) On 18 February 2025, WL issued 20% bonus shares to its ordinary shareholders before the finalization of financial statements for the year ended 31 December 2024.
- (vii) Basic EPS of Rs. 12.2 was disclosed in the financial statements for the year ended 31 December 2023.

Required:

Compute basic earnings per share to be disclosed in WL's financial statements for the year ended 31 December 2024.
(08 marks)

QUESTION 5

Khaja Limited (KL) was incorporated in 2024. The following information is available for the calculation of KL's deferred tax liability or asset as on 31 December 2024:

- (i) On 31 December 2024, KL revalued its property, plant and equipment, resulting in a revaluation surplus of Rs. 116 million. The revalued carrying value of property, plant and equipment as at 31 December 2024 was Rs. 660 million, whereas the corresponding tax base was Rs. 412 million.
Under tax laws, revaluation does not affect the taxable income.
- (ii) KL received a government grant of Rs. 20 million in December 2024 as compensation for losses sustained due to flooding in March 2024. KL treated this as "grant related to income".
Under tax laws, such grants are taxable over 5 years starting from the year of receipt.
- (iii) At 31 December 2024, KL held 50 cows measured at their fair value less cost to sell of Rs. 18 million. These cows were purchased for Rs. 15 million.
Under tax laws, the cost of biological assets is allowed as expense when sold or used.

(iv) Liabilities of KL as at 31 December 2024 include:

- fines payable of Rs. 5 million. During the year, KL also paid fines to various authorities amounting to Rs. 11 million.
- unearned commission of Rs. 48 million.

Under tax laws, fines are not an admissible expense, while commission income is taxable on a receipt basis at a special rate of 20%.

(v) KL had an equity investment measured at fair value of Rs. 32 million. During the year, KL recorded Rs. 15 million as gain for change in fair value which was taken to other comprehensive income.

Under tax laws, gain on investment is taxable at the time of sale.

(vi) The normal tax rate is 28% for 2024, whereas it will be 30% for 2025 and onwards.

Required:

Compute the deferred tax liability or asset to be recognized in KL's statement of financial position as at 31 December 2024. Also, prepare the journal entry to record the deferred tax. **(09 marks)**

QUESTION 6

Pateesa Limited (PL) designs and manufactures electric scooters for urban commuters. In May 2025, PL launched a new model, Volt3, featuring an innovative regenerative braking system developed entirely by its internal engineering team.

On 25 June 2025, PL received a formal legal claim from Cake Limited (CL), a competitor, alleging that the braking system in the Volt3 infringes CL's patented braking technology.

The following events occurred after the reporting date of 30 June 2025:

- (i) In July 2025, PL's internal legal and engineering teams reviewed the claim and the relevant patent documents. Based on their initial analysis, they believed that the Volt3 contained sufficient design differences, and the likelihood of losing the case was 30%. However, due to potential reputational and legal exposure, production of the Volt3 was temporarily paused as a precaution. The internal research and development team was directed to begin designing a completely new braking system.
- (ii) In August 2025, a more detailed technical review and external patent advice revealed that PL's braking system substantially infringed the CL's patent. It was confirmed that the design infringement originated within PL's internal team due to a misinterpretation of CL's patent. Based on this new evidence, PL's legal advisors revised their assessment and concluded that PL was now likely to lose the case. They advised that PL would be required to pay a substantial amount of compensation, or alternatively, agree to an out-of-court settlement, subject to a decision in the upcoming board meetings. PL also discontinued the sales of existing Volt3 stock.

In response to these findings, PL terminated the employment of the senior engineers and project managers responsible for the design. Due to the terms of their employment contracts, PL is obligated to pay substantial termination compensation packages. Despite the significant cost, PL proceeded with termination in order to preserve the brand's integrity and rebuild stakeholders' trust.

Required:

In the context of relevant IFRSs, discuss how the above issues should be dealt with in PL's financial statements for the year ended 30 June 2025 under each of the following scenarios:

- (a) The financial statements are authorized for issue on 31 July 2025 **(04 marks)**
- (b) The financial statements are authorized for issue on 31 August 2025 **(04 marks)**

SECTION B (Ranging from 45 to 55 marks)

QUESTION 7

Jalebi Limited (JL) is a manufacturer of industrial machines. JL sells a machine called Neo5 for Rs. 4 million per unit. Upon customer's request, JL also provides installation services for Neo5 at an additional charge of Rs. 1 million, which is typically completed within two months.

During the year ended 30 June 2025, JL executed the following independent contracts related to Neo5:

- (i) On 1 February 2025, JL entered into a contract with Alpha Limited (AL) for the sale of one unit of Neo5. AL paid Rs. 2 million upon delivery on 5 February 2025, and the remaining Rs. 2 million was paid on 28 February 2025.

The contract also included a provision granting AL a 25% discount on the purchase of another unit of Neo5 before 30 June 2025. At contract inception, JL estimated an 80% probability that AL would purchase another unit before 30 June 2025.

On 14 June 2025, AL purchased another unit of Neo5, with payment scheduled for July 2025.

- (ii) On 1 April 2025, JL sold and delivered 5 units of Neo5 to Beta Limited for a total of Rs. 24.2 million, with full payment due on 31 March 2027. The contract includes an implicit interest rate of 10% per annum.
- (iii) On 1 May 2025, JL sold one unit of Neo5 to Gamma Limited (GL) and also agreed to provide installation services. A combined price of Rs. 4.5 million was agreed. The installation was completed on 30 June 2025 and full payment was received on that date.

Required:

Explain how the above contracts should be recorded in JL's books for the year ended 30 June 2025. Provide date-wise journal entries and workings to support your explanation. **(16 marks)**

QUESTION 8

On 1 January 2023, Barfi Leasing Limited (BLL) purchased a machine costing Rs. 180 million, with an estimated useful life of 7 years. On the same date, BLL entered into a lease agreement with Rasmalai Limited (RL) for this machine, covering a non-cancellable period of 5 years. The agreed lease rentals, payable on 31 December each year, are as follows:

	2023	2024	2025	2026	2027
Rs. in million	Nil	44	48	52	56

BLL has incorporated a lower implicit rate of 14% per annum as compared to market rate for similar transaction of 17% per annum. The incremental borrowing rate of RL is 16% per annum. The implicit rate is not known to RL. The initial direct cost incurred amounted to Rs. 3 million by BLL and Rs. 2 million by RL.

Both companies follow straight-line method for charging depreciation.

Required:

Prepare the journal entries for the years ended 31 December 2023 and 2024 in the books of BLL and RL, to record the above. **(15 marks)**

QUESTION 9

The following are the summarized statements of financial position of Amriti Limited (AL) and Baklava Limited (BL) as on 31 December 2024:

	AL	BL
	----- Rs. in million -----	
Property, plant and equipment	4,960	2,280
Investment property	940	420
Investments	860	-
Current assets	2,470	1,100
	9,230	3,800
Share capital (Rs. 10 per share)	4,260	1,250
Share premium	-	360
Retained earnings	2,160	1,530
Liabilities	2,810	660
	9,230	3,800

Additional information:

- (i) On 1 May 2024, AL acquired 85% shareholding of BL at the following considerations:
- Immediate cash payment of Rs. 860 million.
 - Further amount of Rs. 1,058 million to be paid on 30 April 2026.
 - Issuance of 20 million AL's shares one month after acquisition. The market price per share of AL and BL on the acquisition date was Rs. 70 and Rs. 24 respectively. However, at the issuance date, their market prices had risen to Rs. 80 and Rs. 26 respectively.
- Only the cash paid of Rs. 860 million has been recorded as investment in AL's books. No subsequent adjustments have been made.
- (ii) At the acquisition date, BL's net assets had carrying value of Rs. 2,650 million, which was equal to their fair value except for an investment property whose fair value exceeded its carrying value by Rs. 360 million. The property had a remaining useful life of eight years.
- (iii) BL measures its only investment property using cost model while AL measures the investment properties using fair value model. The fair value of BL's investment property was Rs. 870 million as at 31 December 2024.
- (iv) On 1 July 2024, AL sold a machine to BL for Rs. 160 million, resulting in a gain of Rs. 20 million. The machine had a remaining useful life of 5 years.
- (v) After the acquisition, AL sold goods to BL for Rs. 240 million at a 20% mark up on cost. BL sold 60% of these goods during the year. As at 31 December 2024, AL had a receivable of Rs. 125 million from BL.
- (vi) An impairment test carried out at year-end indicated that goodwill relating to BL had been impaired by 16%.
- (vii) AL measures non-controlling interest at the acquisition date at its fair value.
- (viii) A discount rate of 15% per annum may be used wherever required.

Required:

Prepare AL's consolidated statement of financial position as at 31 December 2024 in accordance with the requirements of IFRSs. *(Show all necessary workings)* **(19 marks)**

(THE END)